SI425: Passive Investing Is About to Face a Real Test ft. Cem Karsan

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis The episode argues that the current global economic system is nearing an inevitable inflection point due to four decades of unsustainable supply-side economics, massive sovereign debt, and financialization that has created a "market too big to fail" scenario. Jim Kazang posits that a significant crisisâ€”likely catalyzed by post-midterm political dynamics and structural pressuresâ€”is now required to unlock aggressive state intervention characterized by monetary printing and direct stock buying (State Industrial Policy). Consequently, passive investing strategies are failing because the system is designed to require volatility to balance short-term incentives; listeners must transition toward proactive portfolio resilience rather than reliance on 60/40 or index-based approaches that ignore cyclical structural shifts.

2. Key Arguments & Data

3. **Systemic Vulnerabilities:** The economy has become financiallyized, with ~$300T in public and private markets, creating a situation where capital flows are decoupled from underlying economic reality (earnings/growth) due to high valuations driven by CAPEX.
4. **Election & Political Incumbency:** Jim notes that regardless of the political party, the US administration (incumbent powers) operates under incentives that prioritize short-term outcomes over long-term sustainability. He argues the upcoming midterms have created a vacuum requiring decisive action to prevent systemic collapse.
5. **The Role of Volatility:** Passive investing ("sit back") is unsustainable; volatility increases are not a bug but a feature of this macro regime, often necessary to refresh or resolve the system's underbrush. VIX rose ~25% on the recording day alone.
6. **Market Performance Data:**
    - CTA Strategy (Trend Followers): BTOP 50 down 1.59% in November; S&P Gen CTA Index down 1.81% YTD due to oil reversals and flight-to-safety flows.

    - Equities: S&P 500 total return up 1.44% (month) / 13.37% (YTD), but underpinned by volatility and marginally high valuations.
    - Vol Strategies: Year-to-date performance has been "meh," but recent election-related flows provide a release valve for stress, creating opportunities in the Volspace.
7. **Japan vs. US Model:** Japan printed money for 35 years while maintaining relative economic success by buying global stocks and keeping industrial capacity domestic; the US faces similar inflationary risks but lacks the same industrial base due to reliance on imports and supply-side dominance.
8. **The US Dollar & Geopolitics:** The US dollar remains the ultimate leverage tool for policy. The US is attempting to maintain its monopoly by controlling Middle Eastern trade routes (e.g., Houthis deal) and underpinning its own economy through printing and state-directed investment, while competing economically with China on industrial production.
9. **The Pendulum Swing:** Economic theory suggests a "pendulum" swings between supply-side economics (profit/fairness conflict) and human nature (fairness/evolution). The system has swung too far on the supply side, requiring a crisis to reset incentives before it breaks or shifts to a new equilibrium.

10. **Resilience Over Prediction:** Predicting specific market outcomes is futile; investors must build resilience into their capital structure rather than betting on predictions.

11. Actionable Takeaways

12. **Abandon Passive Investing:** Do not rely solely on index funds, 60/40 portfolios, or passive strategies like "sit back," as the current regime requires volatility and active risk management to survive.
13. **Build Portfolio Resilience:** Focus on creating a robust portfolio that does not depend on single-cycle predictions. Utilize diversification across non-correlated assets (cash, insurance-like hedges).
14. **Implement Active Management:** Actively manage your own portfolio rather than passively holding positions. Review what you

own for risk relative to return and adjust based on fundamentals, similar to Warren Buffettâ€™s approach.

15. **Prioritize Risk Management over Return:** Treat hedging (insurance) as a core requirement of the portfolio, not an add-on. Use options and other tools for precise risk management rather than speculative leverage.
16. **Avoid Financial Toys:** Steer clear of complex leveraged products (triple-leveraged short ETFs) that obscure risk without offering diversification benefits.
17. **Prepare for the Crisis:** Be proactive in monitoring macro shifts; assume a crisis is coming because the system has no other mechanism to resolve its internal contradictions (debt, populism, financialization).

Full Transcript

And so the whole world of passive investing, the whole idea of sit back, it's easy. Guess what? Not gonna work so well, right? You said that before the bond part broke. Guess what breaks next? Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Welcome back to this week's edition of the Systematic Investors Series with Jim Kazang and me, Nails Castroblasen, where each week we take the pulse of the global markets through the lens of a rules-based investor. Jim, it's wonderful to have you back. Have you been? It's always a pleasure. We're recording this on a morning when markets are kind of falling apart post the second day post midterm.

If I sound a little distracted, I'll be looking at my trading terminals in between. With the VIX up 25% on the day, I know exactly what's causing that. Anyway, it is great to have you back, and obviously it is post the election, so there are lots of things to talk about, how this affects the balance of power and all of that stuff. Before we get to that though. I'm always curious to know you and I didn't have the last conversation on series together. That would be that was with Alan. But anything that kind of is on your radar, not related to what we're going to talk about, but just at the moment. Yeah, honestly, other than the midterms and all this huge stuff, I'm trying to try and take a few moments in between to enjoy. So I was just in Seattle, watching our Chicago Bears who haven't been this good since 1985.

kind of dominate the Super Bowl champs. So that was a lot of fun. I find it interesting that we haven't had a successful Bears team for, you know, about 40 years. And kind of talked about that 40 year period. It's the 40 year cycle. It's a 40 year cycle. Maybe coincidence, maybe not. Well, maybe not. Maybe not. No, it's true. Now, on my radar, nothing quite as joyful as that,

but I don't know. I don't think it gets a lot of coverage necessarily in the US media. But in the last few days, there's been a number of bomb threats to European airlines. And even today, I was just reading the news as we started recording. Today so far, 25 bomb threats to airlines in Europe. So that is completely crazy, kind of ties in with what we're going to be talking about later about crisis and all of that stuff. But why don't we Why don't we get back to maybe a question that I mean we'll come to it but there's definitely one question that that I've been thinking about a little bit and that is you know how long can the rally we saw yesterday maybe we have the answer already kind of continue if it's only driven by people taking off some hedges right so but we'll get to that.

Let me quickly run through the CTA staff and then we can focus on the important side of things. It's been a difficult start for CTAs and trend followers in the beginning of November so far, even though we're only a few days in. But it's really the losses that we see in reversals from oil markets and also the continued flight to safety. into bonds. And then also I would say grains and currencies have been running into some headwind in the beginning of November. So we stand a little bit below zero already. BTOP 50 is down 1.59% in November. as of the third, up 11.62, still a good year. Sock Gen CTA index down 1.81% and up 11.81% for the year. Sock Gen Trend down 1.75, up 12.39 for the year. And the short-term traders index down 77 basis points, up 4.39% so far. As of last night, MSCI World was up 1.23% for the month, up 12.25 for the year. The EVE index, without US and Canada, up 77 basis points and up 10.36. World government bonds still enjoying a little bit of tailwind, up 39 basis points for November, but down about a percent so far this year. And the S&P 500 total return up 1.44 as of last night, up 13.37 so far this year. But of course, as Jeremy alluded to, this could all change today. Now, before we dive into the topics.

I was wondering how closely you follow the vol space more generally. I don't necessarily want you to talk about your own strategies, but vol over an election period like this, how do you think vol managed? We know multi-strats haven't done so well in October. That's been well publicized in the news. September and October, honestly. Yeah, yeah, no, exactly. So do you have a feeling for vol strategies? Either the year to date or in the last month or so? Well, year to date, obviously, hasn't been great for vol managers until

very recently. It's been a, you know, vol compressing story all year. For those that have been trading dispersion, it's been a great, wonderfully year. But the problem with the dispersion strategies are the price of dispersion has gotten so high that Many managers who even do dispersion have stepped away from it thinking wow how much further could it go? Yeah, and I think that relates in to some of you know and tangentially to some of the multi-strat stress-suit scene We've talked about this at length for now over a year and a half two years about the connection here to wall compression and And and not just dispersion probably we've talked about that for probably five years. Yeah, but but the connection and how it's really integrating with long short equity hedge fund manager growth. We've not seen a tremendous amount of stress that's being exacerbated long short equity as it grows to a size where the liquidity, particularly given the pressures of all at the index level is pushing, you know, everything away from each other. So that stress has been a major headwind for long short equity strategies and for kind of index fall and for a related reason. That said, I will say that we are entering a period where a lot of the, I think the last several days have been today and yesterday have been incredibly good for vault managers. These have been very flows-based kind of moves, both yesterday and then today. Obviously the macro developments with this blue wave that happened opens the window and can be a release valve for a lot of the macro stress.

we've been seeing to accelerate. And I think we're seeing a little bit of the beginnings of that today. And so, largely, again, very good two days. And two days in volspace, by the way, can make up for six months of bad performance to give you a sense of how good the last two days have been and just a little bit more action. And that can take care of the whole year pretty quickly. So unlike some of these other strategies, when it's good, it's great. And when it's not, it's kind of meh. And that's kind of how it's been. It's been meh. And we're kind of getting a lot of great here very quickly. So let's see what happens here. I want to start out by something because, as I said, you and I didn't have the last conversation on this series together. I was with Alan Bart.

my understanding from reviewing that episode, which of course I did with great interest. I think you actually explicitly asked to be held accountable on

one thing and that is you were expecting, how should I put it, not an easy acceptance of defeat if indeed it was defeat at the time. One, are you surprised by the size of the sweep? And are you also surprised about the pretty muted reaction from the White House? Yes, I am surprised by the size. Let me start with the first question, the size of the victory. I think in retrospect, the Lula kind of populist wave should have been a sign for that. The interesting thing and the thing that threw a lot of people off is that there was actually quite good turnout.

by Republican voters, like very high voter turnout for Republican voters. And the assumption was that meant more Republican votes. But what we saw was a ton of Republican angry mag of voters coming and voting Democrat. And that is what really confused people, including the administration, I would say, the gap in size of that. Once you have that big of a landslide, there's little that you can do. from a contesting port. If it was a 52, 48, 51, 49, 50, 50 Senate situation, I have conviction that they would have pulled every lever they could have. But at some point it is, they have no way, they are losing so badly, there's no way to contest this election in a meaningful way. So I do think that given where we are, there's real fear.

To what Trump said that you know if the midterms come expect a problem and what he's saying there is he's gonna blame this on Democrats right and it opens the window for an earlier move Right for markets to have more stress and for them at least to step away again. I want to highlight Besson has been incredibly quiet Yes, we haven't heard like when's the last time Besson didn't say anything for two weeks It's been two weeks. We haven't heard anything from messing, going into the midterm, coming out. And what we are hearing is Trump at all, if anything, speaking very negatively about markets. And we haven't heard that since when? Probably February 26 and before that February 25. And so again, I think you know my views on how active And we can see it in the P&L of the administration, how active the administration has been in manipulating managing markets. And it is my view that this is the beginning of kind of the next move and you should listen closely to what they're saying. I definitely want to cover a lot. I also want to ask you to backtrack a little bit because there will be new listeners today compared with a couple of months ago.

I think it's important sometimes again to just lay out the background to how we got where we are and. I know you have kind of some pressure points that you want to talk about I know that you also have some suggestions to what their plan might be. I'm before we get to that in in in an odd way. You can answer it now, you can answer it later, but I might forget since I'm at that age now where I forget things. I wonder how the election kind of changes what their plans are, but I don't necessarily need you to go there straight away. I would much rather that you take us through why we are where we are and how at least you see and with all the caveats that you know, you're putting your neck out there and I think people appreciate that or should appreciate that because, you know, who knows? But we need to have some scenarios, otherwise we can't, you know, think about how to protect ourselves for whatever may come. So I appreciate you putting yourself out there. But let's just, yeah, I'm just going to let you roll with it and then I'll follow along. Yeah, look, the thesis has been to just review very quickly that there is a significant level of pressures in the system that we have been managing through proactive, and I say we, I mean the administration, Besant has been managing through fairly extraordinary measures for some time. And the market has become incredibly dependent on that support, eh?

and B, not only has it become dependent on that support, it is getting to the end, it has gotten, I will say, to the end of the line in terms of without more extreme measures, increased involvement, it is unable to keep going. And I'll kind of talk through what I mean by that here in a second. And so we have to ask ourselves, is the administration at a point, especially given this midterm? to be able to continue to release those measures without some type of crisis or something bigger that allows them to roll out what's truly needed. So let me walk through what I'm seeing and what those pressures are. I've done it, I think with Alan briefly, but just to kind of review for those that didn't hear it, there's essentially four major pressures that are facing the U.S.

They're all interacting with each other. They all largely come from the same thing, which is 40 years of supply side economics, right? Which are, you know, to be run through them quickly, a dramatically kind of unsustainable national debt that's accelerating with interest rates rising and with populism

forcing kind of more fiscal spending to a market has become so, like the economy has become so financialized that markets quite simply are too big to fail. We now have a 300 trillion equity, private and public market. It goes up 20%. We have 50 trillion liquidity. We come down 50, 20%, that's 50 trillion of liquidity pulled out of the system. The economy outside of that is no longer nearly as relevant as the markets quite simply they are themselves. And that's why earnings and growth and everything has become so narrow and fragile.

quite frankly, tied to CAPEX that's tied to the growth in valuations of the names that are getting that equity increase. So the markets have become too big to fail. And obviously the populism, which we talked about here for probably six years now, that populism, if you can't see it, a lot of people were like scratching their head about what I was saying six years ago. I think it's pretty obvious at this point in the midterms. Tell you all you got to know about that. You can just look at the streets of Paris or the rest of Europe at the moment. Exactly. And so that populism itself is obviously making it hard for that debt to issue to be resolved. It also is a pressure to taxing the rich to give to the poor broadly, which is a danger to equities and this market that's too big to fail. You can kind of see how these are interacting. And then of course, China. China itself is a major, major problem because it is, it has risen throughout the last 40 years through this supply-side economic model and corporations needing to get to a lower cost of labor. It was an agrarian society in the early 80s when we started this process. And now China obviously is challenging the US for dominance. All of these things are coming to a head. And this is how it works. We largely mapped a lot of this out five, six years ago when we said, look, when the pendulum swings like this to the extreme level it does, generationally, we get to a point where that generation as they grow to political dominance, which we are seeing literally look at the elections yesterday, you get more and more pressure to prioritize media outcomes instead of mean outcomes. And that causes all of these problems protectionism, which then causes global conflict. We've talked about this, right? And then commodity crisis. We talked about this before Russia even invaded Ukraine, right?

This is all what we talked about. It is happening before you. But this is a bitch's brew because all of these things interact with each other. We have to compete with China. In order to do that, we have to have a market that is sustainable, like sustainable. It continues to go. Otherwise, we have a economic crisis here. We cannot challenge and compete with China. We being the U.S., right? The populism, though, is obviously affecting that and affecting the unsustainable debt. So if you are a policymaker, take the politics out of it. Take the administration out of it. Don't say we're not talking about the Democrats. We're talking about Republicans. You are quite simply somebody who is sitting in a beset seat trying to make a cogent policy. What are you going to do? Well, as the incumbent, empire for lack of a better term, right? By having the strength of incumbency, what is your greatest lever? I'm not even close. The answer is the US dollar. So once you are back on your heels and you are behind all of this stress and it's building and it's coming on you, you go to your greatest point of strength. And so the way out is to lean all over the US dollar. Now China knows this.

China is trying to go to the greatest area strength and undermine it. That's what happened. That's why we are in Iran right at the end of the day China was beginning to trade in yuan with Iran trying to make inroads for the rest of the Middle East to do so and then going to Venezuela and doing the same Should it surprise anybody? I love that people still talking about nuclear weapons and all this nonsense. This is, we're talking about real politic. This is the most important thing, period, to power in the world. Period. One blank. And the U.S. is in Iran quite frankly for one reason. If it's people scratching their head like, why did they do this? That seems so stupid. It's not. It's not. It is quite frankly trying to draw a moat.

around the US dollar by controlling trade on the Middle East. That's all it is. And to that end, yes, there are other costs, but this is the thing that matters most of all right now. This is the most critical thing. And to that end, the US has largely been successful. What's odd that people don't talk about, I don't wanna get too much into detail on this, is that the US actually has made a deal with the Houthis, the ones that literally on their flag say death to America. That's surprised to me on their flag that says death to America. Yeah, no, I'm sure but I'm surprised to hear that they made a deal with them Yes, and you can not publicize that one. That's probably not a coincidence

So you don't hear about it too much of media where all trade going through the Strait of Bob Inland Deb That's controlled by the Houthis the only trade that goes through there is American ships or those that are allowed to move Why in the world would the Houthis make that deal with the US? Well, how do the Houthis get control there?

by bombing the pipelines of the Saudis and through overwhelming military power versus the Saudis. The Saudis have literally the most technologically advanced military in the world. Have you seen pictures of the Houthis? I ask you, how did the Houthis do that? You fell in the blanks. It's all about incentives. And so all trade currently is the majority of trade is coming through the street and Bobby on the dead is largely controlled by the US. So I'm not saying this is an overwhelming success. Obviously, there's huge costs to this and their pressures that are being put on the world economy, which then obviously puts pressure on Trump and the administration as well. And it's only and there are lots of other countries who are not very happy about all this, right? But this is real politics.

And what's happening is drawing out of that mode, as I mentioned, to underpin the dollar because there's only one way out at the end of the day, which is to print dollars and to solve America's growing problems through printing dollars. That's it. They will print dollars, which will monetize the debt, but it's not just about printing dollars. We've done QE before, right? They are then going to drive directly Much like China has done for 20 years, direct investment into corporations strategically. China did this with solar, they did it with electric, they've done it with nuclear, they've done it with rare earths. The list is probably 50 long, right? Not because of profit incentives, because profit is not enough incentive when you're trying to compete in almost a war tight like footing versus another country. I've said for some time here, we have entered World War III.

This is World War III. It just looks different than we're used to. This is an economic war with the U.S. dollar at the center of it, and the U.S. is going to plow. It already has begun to do this in a more subtle way. We have been supporting along into the curve through buybacks. We have been there beaming in the yen, so the Japanese don't sell, right? And then on the other side, we've been buying companies like Intel and MP materials. None of

this on either side has happened, at the extent that we've seen outside of the crisis. Yeah. They're telling you and showing you. And by the way, I just last thing I want to say, Hank Pulsar, Treasury Secretary in the way, came out in April. I was, I've been, I tried to, listen everybody, he's telling you what's going to happen. There's a coming treasury crisis that's before all the treasury mess we've seen more recently, right? And we need to prepare a facility to backstop the treasury market.

quote unquote from Hank Paulson, who appeared out of nowhere after years of not being a media and announced us on Bloomberg in a 45 minute interview. Yeah. I, you know, all of that, I follow along. I can, I can see the rationale. What I don't quite understand about the rationale is why would he, if that's the plan and he kind of needs support for people buying his, the US bonds and all that stuff. Why did he want to make so many enemies in Europe? For example, people who have historically been in allies, people who might even want to help him with his campaign in the Middle East. You don't need to answer it. I don't know if there is an answer out there other than in the administration's head. I just don't understand the disconnect there. If you think about it, Europe is getting more and more on a war footing itself.

Yeah, no, I mean Russia for sure. Yeah, absolutely and and the increased funding and the increased accountability that Europe must Stand on its own two feet. Yes come why? Yeah, and I think if you think about in that context There have been a lot of moves that have been happening preemptively here To help build up our allies you it is not helpful for the US to have a vassal state or in Europe That becomes a liability The U.S. and the West has been trying. I'm not saying they've done everything the right way. I'm not sitting here as a supporter of the way all these things have been handled. I think you know how I feel. But in the context of what the outcome has been, Ukraine has been supported largely outside of the U.S., right? It is a much more robust, call it, Eastern Front.

to the war than it was five years ago. I think that's part of the story. I don't want to attribute all of it to that. No, I mean, I get getting to the 5% of GDP and all that, that was mentioned many times by previous presidents and it wasn't really taken that serious until some of the stuff that was done. So I

agree with that. I do think though there are some major risks in that because I'm not entirely sure that Europe is quite ready for it. And by the way, if we can't buy the weapons that we need from the US because they're spending it faster than they can produce it themselves, we've all become weaker. But that's not what we're going to talk about today, Jim. We're going to go back to your plan. But I want to also be clear. I'm talking as if there's no politics.

or corruption or know anything in this, right? I'm talking about the state and the plan that is like embedded. These are, this is like, there are parts of this massive machinery that are trying to solve for the best outcome. Now, top of that, you have other incentives. That is true. And those incentives are part of this other mess and you can't lump them all together, but they're all interacting. That's fair. So the big idea here is, so what do you do? At the end of the day, let's just summarize it as print money, buy stocks. And you do that as state industrial policy at the end of the day, funded by taxing the world because of the incumbency of the US dollar. That's what it is. We can summarize it as that. And this is not the first time this has happened. Japan owns 8% of the Nikkei. They printed money for 35 years.

without a major cost that yen kept going up. Why wouldn't they print money? Of course, that's what they're going to do, right? And the US helped them do it, right? I mean, I wouldn't say the yen kept going up. I would say the yen kept going down, no? Despite all the printing, we saw it yen strength largely throughout that time period. I mean, if you look relative to the dollars printed, The net weakness that you saw over 35 years is almost insignificant. And this is what monetization looks like if you have, I mean, Japan's not the US, they have the US support which allowed them to monetize their debt. But they also have had an incredibly successful, not only buying their own industries and and forcing yen into it, but also buying global stocks, right? And this has been incredibly net successful in the grand scheme of things relative to the mess that Japan got itself into. And you don't want, I mean, I agree with that. We actually just released the last two Wednesdays. We did Japan special episodes with two super interesting guys, Jesper Cole and...

Andrew McDermott, Japan specialists. And when I hear you say that and correct me if I'm wrong, I can definitely see that what Japan has gone

through is probably something that the rest of the world to some extent has to go through. I don't know if that's what you're saying, but anyway, that's what I'm thinking. But I think what Japan has done differently, certainly than Europe. And I would imagine also different to the US is they did not outsource their industrial production to China. They kept it. And that's why they're in a pretty strong position today. So I don't know how this is going to end or what the different means, but I'm just going to say, I just feel that they've gone about it in a different way. Let's just put it that. Yeah. Yeah. I mean, there were different situations, right? Japan was a, first of all, very different cohesive society with different characteristics. It also is, was it export economy? US is the import economy, right? We, US needs to rebuild its whole infrastructure for internal kind of production. And so this industrial policy of kind of rebuilding, et cetera, will take a tremendous amount of internal investment. I would argue way more than, you know, what Japan was facing. Meanwhile, in the context of being challenged by China, who itself has tons of industrial production. My point is the pressures. It's always about incentives. Show me the incentives. I'll show you the outcome. The incentives are such that without major aggressive action, the US is heading to probabilistically a incredibly dangerous place. And its greatest source of power is the pun intended, the Trump card of the US dollar. And so the US is doing everything it can to prepare that for leaning all over that. No, will that be successful? Will it not? There are other risks to it. Of course there are risks to it, right? But the question that ultimately comes down to when you really boil it down to is, would the world rather have the US or not have the US? And in that context, would it rather have the dollar or an alternative? And this is the higher probabilities, who knows? There's a whole range of probabilities. Is the world would much prefer an incremental outcome where the dollar is still dominant and the US gains its footing, but then post kind of a somewhat resolution of whatever mess ultimately exists here that there is a new kind of Bretton Woods that renormalizes things. Now, will the world get that? We don't know. And the first step here is for the US to underpin and kind of shoot the gap in a sense to deal with these problems. Now, how does this address those problems? I'll do this quickly. You know, at the end of the day, we buy stocks that support some market that's too big to fail. It creates a really hot economy that is also, you know, by printing money that essentially drives inflation, not just in the US, but probably worse abroad, right globally. You

know, we export massive inflation. We also get inflation here in the US. So the whole world goes through this inflationary.

But the benefits largely of that accrue to the U.S. through the investment in U.S. corporations and a rebuilding of U.S. infrastructure, right? From a populism perspective, obviously this is, you know... This populism issue is at the root of all of this at the end of the day, right? And it's not going the other way. We, you know, we saw that yesterday, but you know, the peak of the generational kind of the millennial dominance to politics comes in 10 years or nine years or so. It's a long road from here. And at the end of the day, that itself, and we've talked about this for some time, has to be addressed or the burnout down eventually overwhelms everything, right? And So you have to start giving people money. The problem is you give people money, then you go from a supply side model to a demand side model and that's really bad for corporations at profit margins. And therefore multiples, you know, contract and we have a major problem to a market that's too big to fail. This is the catch 22. And so what they're doing is essentially going to give people stock and say, Hey, in 20 years, you can spend this.

or buying the form of sovereign wealth fund, say we're going to give you all these social services, but we are going to control that money. And so this is the plan. It is not an easy one because at the end of the day, you're trying to, at the end of the day, the weakness is you're trying to solve the populism or at least keep it at bay by giving them right wing populism, right? which is essentially buying them into stocks to short-circuit the K-shaped economy and then growing the value of those stocks through printing money and buying stocks and driving a very kind of supply-side kind of model, you're just getting everybody on board. It also makes sense in the context of the AI development, right, which is not a coincidence, right? Because at the end of the day, everybody's bought into that and we're really ultimately going to head to something that looks like more like universal basic income.

And actually what is labor and is it even needed conversation ends up resolving with, hey, everybody owns the AI. So, at least you're getting the earnings or the benefit of that AI. This is what they are thinking and this is what they are trying to accomplish. I've used this quote before, but it's a

famous Mike Tyson quote. Everybody's got a plan until they get punched in the mouth, right? And this is the plan. But you better believe China's sitting over there punching. And you better believe there's lots of other incentives in the system to not only burn it down internally, but incentives by corporations to not fall in line. And so this is not an easy, this is a big, big thing to deploy.

And accordingly, you cannot deploy it unless you're in crisis because unanimity that's needed and the buy-in that's needed ultimately to deploy a plan like this. We have not seen QE. I want to be clear without a crisis. And ultimately the level of policy we're talking about necessitates crisis. I want to get to that. But there's one thing that I think is sort of worth maybe asking you about. So I know in the past you've laid out this plan. You did a quick summary today about kind of how the last 40, probably now 45 years, is really the build-up and the course of the populism that you so correctly highlighted many, many years ago. But you can't really point at a specific party in the US, neither the Republicans nor the Democrats, to say, or you're at fault because they both did it. There's been changing presidents for the last 40 years and we always did the same thing more or less. And I think I know the answer to this, but I'd like to hear your thoughts here. So besides needing a crisis which will come to unite people, you and I, we've talked about Neil Howe, how he thinks about that after the fourth turning, the younger generation will actually unite and find solutions, right? They come to the conclusion that we shouldn't hate each other, we shouldn't kill each other, literally we should work together. So, one you could say, well, this is always going to happen, this is kind of just part of these generational cycles, but is what you're saying is that this is not so much a, and I don't know if you're saying this, but in my mind, this is not so much about politics, it's about age and generations. And actually it's, it's the younger generation. And as you rightly say, in a few years, they're going to have much more power. Just look at some of the young people like in Texas, young guy being voted in, it's actually more, it's more that that is going to drive the solution rather than blue or red kind of policy. We're missing the whole point. This is not about.

I call it politics that's semantically undermines the gravity and size of what we're talking about. This is human nature. I always started our

conversations about what this is about. There's really two things and there is an utter conflict between these two things, which is nature, which is progress and evolution and survival of the fittest and all of those things that we know are true. And this concept of fairness, which is a supremely human belief, right? Because we believe in the self because we have a frontal cortex as more developed and see each other as things that are similar so we have empathy for each other. Those two things, life is not fair. We know that. Yet we believe in fairness. Might as well believe in unicorns and, you know, You know, rainbows, or gold at the end of the rainbow, leprechauns. The reality is these two things, societally, that we know, one that we know to be true, and one that we know to not be true, but we believe in dehumanity are in utter conflict with one another. And as a species, never mind politics, as a species, we want both. And you cannot have both in equal measure.

And and yet our politics lays it out as you can have one right above and so naturally the natural system is dominant and things go absolute power corrupts Absolutely in the natural system gets to this point where the pendulum swings it does it happens again and again again It's happened for probably a million years Okay, but when that happens at some people people say this is not at some point people say this is not fair and we are at that point And that swinging of that pendulum, that supply-side economics, which has benefited as a free market approach, that it's benefited the rich without all the costs of increasing labor and the inflationary pressures that come with the cost of labor, that ultimately has led to increased financialization, the growth and birth of China from an agrarian state to where we are.

and a national debt because when interest rate was zero, we will borrow as much as we can, keep feeding more money, right? And now populism, what about us, comes and how are we going to stop spending as interest rates go higher and people now are unhappy? The whole thing is the pendulum swinging. Maybe we'll try and dissect one part relative to another. It's all the same thing and when the pendulum stops, and start swinging back the other way, which is a function of generational experience because we want both. When that happens, it is incredibly hard to hold it at bay and not allow it to swing back and to navigate 20, 30 years or whatever, probably 20 years and

educate on why you need to do that and hold that populism at bay. The most natural thing is for it to swing back, but when it swings, it swings so far the other way that it breaks.

You know, everything. We know communism and socialism don't work because they're unnatural. They do not work. We know that. They make things more fair for a while. But at the end of the day, this is the trickle-down economic supply-side economic argument is a lower ship. It's more equal. It does not make anybody more happy, right? And so a rising tide with massive inequality is also not great. But it might be the better of the two. And the big question is, how do you navigate these two things that are irreconcilable? And we got way too far and pushed for way too long to a supply side policy. Because at the end of the day, incentives are for short-term solutions and to keep the plate spinning. And that's why the pendulum ultimately always swings. So it's not.

It's not left-right. It's not politics. It's way bigger than that. And now we are in this situation where those that have been brought by that pendulum along, who are not the drivers of that pendulum, which are Trump, et cetera, they are vehicles of what is happening here, are now being asked to hold the pendulum from swinging the other way or risk existential threat. And it's not just the... political parties, it's the countries that benefited from it along the way, which America is obviously the greatest. Free market kind of has benefited from the supply side kind of wave. It has driven the Pax Americana. It has driven these also these views and ideas that you ask about Europe. Europe and the world has lived in this peaceful bastion that has largely been a function of this supply-side economic model and corporate kind of expansion. And it's been able to hide under the shelter of the growing entity. And so what is best for Europe? The question ultimately becomes, we are entering a period of incredible strife. This is what a fourth turning is. Yeah, definitely.

the answer is to You know and war is to batten down the hatches to start working out to do whatever you gotta do to go to war to survive and Make allies if and when you can based on incentives, but it's war and all is fair and love at war, right? I wanted to ask you For sure, I'll try and keep just two thoughts in my mind right now. And that is, one, I wonder if there are

things that you can expand on in terms of how you think we get the unity needed, say, in the US, i.e., a crisis that unites politicians to do what they need to do. That would be one thing. But before we leave this conversation, I actually would also like to ask you about how you think, because I know this is something you're doing now, how you think people should prepare their portfolios for what you're seeing, but I do think we need to get maybe through the other bits before we get to maybe think about, even dare to think about solutions. A crisis, and I've said this again for some time, I think people are starting to become more visceral, people are starting to hear it now.

I'm so I'm gonna say it again. Well, they can see it. I think the greatest thing that we can ask for is a crisis We need I've tried to end and explain that we need a crisis without a major crisis without burning the under rush this will be an immense forest fire, right? And I'll argue that we haven't cleared the underbrush for quite some time, so it's already gonna be Pretty bad. I said five years ago if the US doesn't act now I said this five years ago that in 10 years it will be too late And so as much as I disagree With so many of the social and kind of the ways that Trump has handled so much of this What he understands at least the people around him understand is that the incentives are such that they must act and they must act aggressively And that is what's happening. And so how do people prepare? They can't act passively. And nature, if you don't get up in the morning and go hunt and build a shelter, you die. So you must be proactive. And so the whole world of passive investing, the whole idea of sit back, it's easy. Guess what? Not gonna work so well.

Right. We said that before the bond part broke. Guess what breaks next? Right and this is not a one-week one-month call, but the reality is they are trying to support what is currently in my opinion unsustainable because the short-term incentives Call for it at the core of all of this if you really want to zoom out Beyond the fourth turning well beyond the 80 years is a desire to solve short-term problems that cause just bigger problems. This is the creation of the Federal Reserve, is to smooth the business cycle. But the whole system is dependent on some level of crisis, a burning of the underbrush, to refresh the system and extend it in a way that is stable. We have created a non-governmental entity to help soothe ourselves in the short

term because we never want a crisis. Meanwhile, that burning of the underbrush that we don't want is quite simply breaking the whole system. But the incentives, unfortunately, is because we live short lives, is to have for ourselves, selfishly, a smoother ride. And at some point, the ride just is not sustainably smooth. And this is what drives the creation of the greatest generation and, you know, these fourth turnings. And it is on those people when they are around to bear that burden, to extend kind of the blessings of liberty to ourselves and our posterity, right? Or have it perish from this earth? Let's take the optimistic view that we don't perish. It wasn't us perishing, it's freedom perishing to be clear.

Doesn't sound good either. No, but one thing is, and I think we've certainly made our concerns clear about passive investing and so on and so forth. So that's one thing. Now people obviously still do that to a large extent. And the whole system is designed to continue to have flows every month from your pension into supporting these markets and so on and so forth, which in a sense, by the way, kind of underpins. to some extent what you're saying that we need, we can't let the markets go down that can't afford that. But you also say that that's not really what to do. So when you design sort of your bigger portfolios within kind of the wealth part of what you do, what are some of the building blocks that people need to think about? And are they the same as they used to be? I know you and I obviously are incredibly skip.

skeptical about the 6040. Even though people can find lots of data to say, oh, well, it's actually been pretty good except for 2022. But on that, it's been pretty good. That probably is true. But that's also because we have short term memories and we forget that it's been pretty good since 2000, but maybe not if you go back much, you know, much further back than that. It's timeframes, right? And, you know, we're, we talk about Five years have gone by here and we've had all these conversations. This is the short-termism, right? Yeah. And 40 years is forever. But the building of all the financial infrastructure of what we've talked about, right? Options didn't exist until 1972. Yeah, right. Has happened in the last 40, 50 years. And so the things we're talking about are You know are much bigger and and so you have to think about timeframes if we had known we were going to a supplies, you know a 40 year supply side response I think it would have

been easy in 1982 to say within five years the probabilities are increasing dramatically to a supply side response right and so the pendulum had swung the other way right to a you know similar to how you know in nineteen 45 right, you know could have had a similar probably probably view right or 1940 or so so the the reality is that We never probably could have expected that it would have been 40 years and that the Federal Reserve and its aggressive its ability to come in and control and to manage and to keep the plate spinning and to keep going that way and to hold that that populism at bay, which by the way, we started hearing about populism when Occupy Wall Street and the Tea Party in 2009. That's 16 years ago, right? And so I think, but if you had some of these general understandings of structures, you could have judged the probabilities within five to 10 years of a general turn and benefited from a more supply side response, much like right now you should, you know, but you can see, and we've been talking for five years about what's coming. But that said, The stability within a 60-40 portfolio or a portfolio that does the exact opposite of a 60-40 portfolio, which tends to benefit when the pendulum swings the other way, are functions of big cycles, nothing more, nothing less. And in order to hack that whole thing and not to be dependent on predictions, you need to create resiliency Right within a portfolio. There are hacks that can say I'm not going to make the bet and what we try and do is to create a robust portfolio that maybe on the margins leans into some of those bets Right on the margins, but that is not an investment process as far as we're concerned. That is betting That is, and we do some prediction. Everybody wants to hear the prediction because nobody wants to use the actual, you know, the gambling winning and getting it right is the best story. But there are hacks to get a much better outcome relative to risk. And those are the real core stable succeeding things over the long run. And we know what those are. I mean, I can run through them. They're, you know, invest in what, you know, again, spend the time and energy. This is, people say, active management's dead.

Active manages just means have a brain and look at what you own and own something that fundamentally Has a less risk relative to return Guess what? Warren Buffett just did that Howard Marcus does that and it's worked out of the long run But they've been around for a while and those that haven't they're like ha ha that's stupid thinking is stupid Like doing the homework

is stupid. I explain that to me, right? So that's one two, you know, don't just invest in long Assets invest in non-correlate assets use diverse power of diversification to your benefits one of the only Cheat codes that exists out there. We know that don't put all your eggs on basket You know these truths are pretty they go back to childhood, right? Like we know what these truths are, but nobody does it three the whole gas and brakes you have insurance your portfolio and monetize it Right and put it back to work. Hmm. All right, that's risk management We own insurance in our lives. We do it in all kinds of other ways. But when it comes to investing, that's sure. And then, lastly, we have these incredible tools. Use the best tools. Use the precise tools for investing. And any job, literally, if you're a physician, guess what? You use advanced tools to do precise surgery. And so if you know what you're doing, guess what expertise matters?

and you have the right tools, allow options, right? You can be much more precise with risk relative to return and making diversified bets with much more capital efficiency. These four things are not rocket science. They really are not. This is not brain surgery. This is not rocket science. And all these things you learn it use Chicago Finance 101, 2, 1, and 3. Literally, there's nothing beyond an undergraduate education in these courses that is necessary to them yet 98 95% of the world ignores them so common sense really I want to say two things One is you brought up the word which I hope will be a word that people will use a lot more when they talk about investing and that's resilience And I want to give a shout out to our mutual friend Dave Dredge in Singapore, who obviously talks about a lot of these things all the time, has done for a long time. But actually he put out recently in a comment. It was a reply to a LinkedIn post, but he put the definition from a book, I think it was Judith Rodin.

the resiliency dividend from 2014. He actually put the definition of what is resilience. And once again, it's just incredibly good stuff to just read. So that's one thing. The other thing is, and I agree with all of what you said about common sense and all that. I don't know if how this will happen because usually when you give people a toy, they don't want to give it back. But I do think we really shot ourselves in the foot by giving people a lot of the financial toys that they have at their disposal today, such as triple leveraged short ETFs or whatever it may be where people just have no clue

what they're getting into in terms of risk and the availability of leverage as well. So used, as you say, common sense, built portfolios carefully.

diversified all of that stuff, of course, but there is definitely also a quote-unquote and a rain, we need to rain back some of the some of the stupid stuff that we have been doing, but that I think is more difficult to do because once you've given it to people, very difficult to take it back. Yeah, I think that's right. At the end of the day, people have to learn, unfortunately. I wish we could sit here and we've been time up for five years. What percentage of the population have we taught, right? And even those that we've taught and we've tried to, who moved more and more this way, had to at least see probably two, three years to hop on board, right? And so there's no better teacher on this planet than experience. But that's why the pendulum swings. People will all get it when it's probably too late. And then the pendulum will swing again. Well, The pendulum will swing again in a few weeks when you're back, so we'll see which way it's pointing. Hopefully we'll also manage to do a little group session. It might be this year that I'll divide it up to two groups.

because we're so many co-hosts now, but we'll see. We'll get that done and set out. Do we get like team captains? Do we get to like choose our teams? Maybe we do a debate. Maybe we just do a debate. You know, I was gonna do like a global macro group, and I was gonna do kind of a hardcore kind of CTA quant group. And yeah, not to fight each other, but to debate among each other. Yeah. Anyways, we'll have to see. And by the way, thanks so much for mentioning the upcoming book that Rich and I are putting out. I saw that on your Twitter feed. So I appreciate that. And to anyone who has not noticed, but Rich and I are publishing a book when they get it done in the editing department, I guess. But it should be out hopefully in the next couple of months on Amazon. So if you want to get on the list where we will inform you, When it's out, but more importantly, we're going to offer it very cheaply. The first week just to get it in the hands of as many people as possible. So sign up. Just go to the website, toptradersandplug.com. And there should be a little book picture somewhere on the website. You can sign up. Anyway, enough of that all self promotion. Jim, this was great. Thank you so much for your time and your willingness to put yourself out there with some.

some really good. I know you and I have talked about it so many times over the years. So it doesn't feel that kind of out there maybe to us, but I think for people who come across it for the first or second time. Well, I think putting the timelines on it is important. It is. And I think the incentives within the system, you know, they as we accelerate the timelines tighten. And so. I think we have some very critical incentives that are political in a high pressure, high stakes environment that are going to force an outcome very soon. And again, as I mentioned at this time around, but really before June of 27, we believe there'll be a meaningful crisis that will be allowed essentially to happen to some extent to respond with what is needed in terms of a massive.

response to what's really a building sort of pressures that are unsustainable otherwise. And so let's see, we'll be on. We'll follow it. We'll follow as it goes. But the midterm was, as I mentioned, six months ago, I started talking about this, a massive inflection point. And as we can see today that we are inflecting. Yeah. Yeah, no, no, absolutely. I mean, it's awful to say that we live in interesting times because we really do But the human cost at the moment ever in many places around the world is just absolutely heartbreaking. So anyways, we will do our best at least to help people navigate what's coming. Like I said, may we live in interesting times, but that means that comes also with great responsibility. And hopefully we're doing some incremental work there. And if more is asked for us in all kinds of ways, you better believe willing to jump up in those ways as well.

Yeah, so maybe I could just round off by encouraging everyone listening to share this episode and the other episodes with your friends and loved ones or colleagues. We need to get the word out there so that people don't just blindly get the information from one source who, as you rightly put, may have in completely different incentives than we certainly do. Anyways, next week I will let Alan... guide you through the next conversation with your because I'm going to Don HQ in Florida. So if you have a question, I will still be able to guide it to Alan. So I send it to info at toptradersonplug.com and I will do my best to get it over there. Anyways, from Jim and I, thanks so much for listening. We look forward to being back with you. And of course, as always, and especially at this time, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged.

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